

This synthetic agreement is between Siemens Legal Operations and Ai Vendors Counterparty 01. It is generated for Lou contract review demos and is not legal advice.

1. Commercial Background.

The parties are entering a transaction governed by playbook PB46: ai vendor third-party risk management playbook. The commercial purpose is: A comprehensive guide to identifying, assessing, and mitigating third-party risks associated with AI vendors, including supply chain vulnerabilities and operational dependencies.

2. Pre-contract AI vendor data security protocols.

Preferred drafting position: Vendor provides ISO 27001 certified data security framework. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

3. Pre-contract AI vendor compliance with AI regulations.

Preferred drafting position: Vendor complies with EU AI Act and US AI regulations. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

4. Pre-contract AI vendor transparency in model development.

Fallback drafting position: Vendor has model development transparency policy. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

5. Pre-contract AI vendor incident response capabilities.

Escalation issue: Vendor lacks formal incident response plan. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

6. Pre-contract AI vendor intellectual property ownership.

Preferred drafting position: Vendor grants clear IP ownership to client. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

7. Pre-contract AI vendor audit access rights.

Preferred drafting position: Vendor allows client audit access to systems and data. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

8. Pre-contract AI vendor third-party subcontractor oversight.

Fallback drafting position: Vendor has subcontractor compliance policy. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

9. Pre-contract AI vendor data residency requirements.

Preferred drafting position: Vendor complies with client data residency preferences. The

parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

10. Operational Exception.

The supplier may use experimental workflow tooling for internal reporting without prior written approval, provided no regulated data is exported. This clause is intentionally outside some playbook coverage so Lou can surface unmapped review findings.

11. Signatures.

The parties agree to the terms above through duly authorized representatives.